



FOREIGN EXCHANGE RATE

Title: foreign exchange rate basic learning

ELI5 VERSION | BY THUNDERSTUDY STYLE 🧠✨



What is Foreign Exchange?

Imagine: You live in India and use rupees (₹). Your friend lives in the USA and uses dollars (\$).

If you want to buy something from the USA, you can't pay in rupees — you must first change your money into dollars.

👉 **This exchanging of one country's money for another country's money is called Foreign Exchange.**



What is Foreign Exchange Rate?

The Foreign Exchange Rate simply means: **How much of one country's money equals another country's money.**

Example: If 1 Dollar = ₹83

This means you must give ₹83 to get \$1. That number (₹83 per \$1) is the **foreign exchange rate**.



Easy Real-Life Analogy

Think of currencies like chocolates 🍫.

1 big chocolate = 5 small chocolates

So the exchange rate is **1 : 5**. Same idea with money!



When Exchange Rate Changes

1 Rupee Depreciation (Rupee becomes weaker)

🌐 Earlier: \$1 = ₹80

🌐 Now: \$1 = ₹85

👉 You need **more rupees** to buy \$1. Rupee value falls (weak).

2 Rupee Appreciation (Rupee becomes stronger)

🌐 Earlier: \$1 = ₹85

🌐 Now: \$1 = ₹80

👉 You need **fewer rupees** to buy \$1. Rupee value rises (strong).



Why Exchange Rate Matters (Simple!)



For Imports (buying from other countries)

Weak rupee → imports become expensive 😬. Example: Buying an iPhone from USA costs more.



For Exports (selling to other countries)

Weak rupee → exports become cheaper for foreigners 😊. Example: Indian products look cheaper abroad → more sales.



Super Short Exam Definition (Learn This!)

"Foreign Exchange Rate: The rate at which one country's currency is exchanged for another country's currency."



10-Second Memory Trick



Exchange rate = Price of foreign money

Just like: Price of apple = ₹20 | Price of \$1 = ₹83

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